(a) Give **ONE** reason to explain why the aggregate demand curve is downward sloping. (3 marks)

(b) Suppose the economy initially operates at E_0. With the aid of Figure 2, explain how the market adjustment mechanism can restore the aggregate output to the full-employment output level in the long run. (5 marks)

2024/DSE/II/12(a)

Since the 2010s, the government of Saudi Arabia has been actively promoting football development.

(a) Suppose a football club in Saudi Arabia constructs a large football stadium there. With the aid of a diagram, explain how Saudi Arabia's aggregate output in the short run will be affected during the construction period of the stadium. (5 marks)

6.3 FISCAL BALANCE AND TRADE BALANCE

Multiple Choice Questions

1996/AL/II/26
If a country has a trade deficit, a rise in national income will

A. enlarge the trade deficit.
B. narrow the trade deficit.
C. achieve an equilibrium in its balance of payments.
D. increase the value of net exports.

2003/AL/II/26
Which of the following can explain the co-existence of unemployment, budget deficit and trade deficit?

A. a fall in consumption expenditure
B. a fall in investment expenditure
C. a fall in exports
D. a fall in government expenditure

2012/DSE/I/31
In an open economy, the government expenditure is equal to tax revenue and the value of exports is equal to the value of imports. If there is an increase in private consumption expenditure, the government will have __________ and there will be __________

A. a budget deficit ...... a trade deficit
B. a budget deficit ...... a trade surplus
C. a budget surplus ...... a trade deficit
D. a budget surplus ...... a trade surplus

2013/DSE/I/31
Initially an economy operates at the full-employment equilibrium and the government expenditure equals its tax revenue. Which of the following will result in a coexistence of deflationary (output) gap and budget deficit?

A. a reduction in taxes
B. a reduction in money supply
C. a reduction in government expenditure
D. a reduction in desire to import

2016/DSE/I/39
Suppose Country A initially operates at the full-employment equilibrium and the fiscal budget of the government is balanced. In the short run, an economic recovery of Country A's trading partners will result in ____________ and ____________ of Country A.

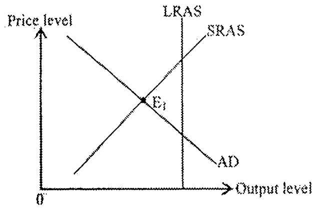
A. an inflationary (output) gap ...... a fiscal surplus
B. an inflationary (output) gap ...... a fiscal deficit
C. a deflationary (output) gap ...... a fiscal surplus
D. a deflationary (output) gap ...... a fiscal deficit

2016/DSE/I/40
Under which of the following situations may a fiscal deficit and a trade deficit be eliminated at the same time?

(1) a decrease in nominal interest rate
(2) a depreciation of the economy's currency
(3) an increase in income tax

A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

2017/DSE/I/39
The diagram below shows the aggregate demand curve, the short run aggregate supply curve and the long run aggregate supply curve of an economy.



Suppose the economy initially operates at E_1 and the total import value equals total export value. If the government decreases the social security assistance to the elderly, in short run, the deflationary (output) gap will be __________ and there will be a __________.

A. narrower ...... trade surplus
B. wider ...... trade deficit
C. narrower ...... trade deficit
D. wider ...... trade surplus

2018/DSE/I/36
Suppose a deflationary (output) gap and a fiscal deficit exist in a country. Which of the following wouldnarrow the deflationary(output) gap and reduce the fiscal deficit at the same time?

A. increasing government expenditure on infrastructure
B. reducing the profits tax rate
C. increasing the tax rebate on salaries tax
D. allowing more tourists to travel to the country visa-free

2019/DSE/I/40
Suppose an inflationary (output) gap and a fiscal surplus exist in an economy. Which of the following measures would help narrow the inflationary (output) gap and attain a balanced fiscal condition at the same time?

A. reducing quota for inbound tourists
B. raising income tax rate
C. adopting a universal retirement protection scheme for all elderly aged 65 or above
D. increasing government spending on infrastructure

2021/DSE/I/29

The outbreak of COVID-19 results in a significant decline in employment level and the volume of exports of a country.

Which of the following policies can most likely relieve the above two problems?

A. The central bank reduces the discount rate.
B. The government distributes cash to citizens aged 18 years old or above.
C. The government imposes 'employment support scheme' to industries that are adversely affected.
D. The country devalues its currency against the currencies of its major trading partners.

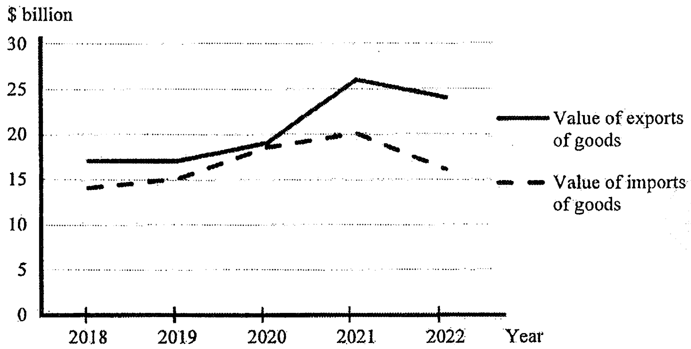
2021/DSE/I/37

Which of the following policies may narrow a deflationary (output) gap and reduce the budget deficit at the same time?

A. an open market purchase of government bonds
B. an increase in income tax allowance
C. a reduction in transfer payment
D. an increase in required reserve ratio

2023/DSE/I/45

The figure below shows the values of a country's exports and imports of goods from 2018 to 2022.



From year ________to year________, the country had an increase in the value of imports of goods and an increase in visible trade surplus at the same time.

A. 2018......2019
B. 2019......2020
C. 2020......2021
D. 2021 2022

2025/DSE/I/13

The supply curve of Good X is vertical and its demand curve is downward-sloping.

Suppose the supply of Good X decreases while the demand for Good X increases. As a result, the equilibrium price of Good X _____ and its equilibrium quantity _____.

A. will increase ...... will decrease
B. will increase ...... may increase, decrease or remain unchanged
C. will decrease ...... will decrease
D. will decrease ...... may increase, decrease or remain unchanged

2025/DSE/I/14

Good X and Good Y are substitutes. If the cost of production of Good X increases, _____.

(1) the quantity demanded for Good Y decreases
(2) the quantity supplied of Good Y increases
(3) the supply of Good Y increases
(4) the total revenue of Good Y increases

A. (1) and (3) only
B. (1) and (4) only
C. (2) and (3) only
D. (2) and (4) only

2025/DSE/I/38

Suppose both a fiscal deficit and a trade deficit exist in an economy. Which of the following may eliminate both the fiscal deficit and the trade deficit at the same time?

(1) The government imposes tariffs on a wide range of imported goods.
(2) The government raises the rate of the salaries tax.
(3) The government devaluates its currency against that of its major trading partners.

A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

Short & Structured Questions

2002/AL/II/6

Suppose the Hong Kong economy was initially in full employment with a fiscal budget balance and a trade balance. The economy is currently suffering from problems of unemployment and the 'twin deficits' (i.e., the coexistence of trade deficits and fiscal deficits).

(a) There explanations, all of which involve a reduction in autonomous spending, have been proposed: (i) a fall in private consumption, (ii) a fall in private investment, (iii) a fall in exports. Evaluate the ability of each of these factors to explain the coexistence of unemployment and the twin deficits. (6 marks)

(b) As a fourth possibility, is a fall in government expenditure a valid explanation for these three problems? To balance its budget, the government has to find ways to increase its revenue and/or cut its expenditure. Will such fiscal actions help resolve the unemployment and trade deficits problems simultaneously? If not, how will unemployment and trade deficits be affected by such actions? (4 marks)

2006/AL/II/6(a)(i)

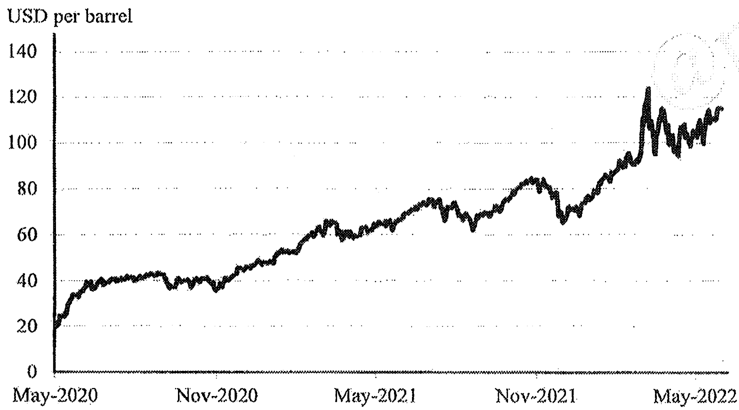
A country running trade deficits against the rest of the world can deal with the problem by either expenditure-reducing policies or expenditure-switching policies. The former involves the use of contractionary fiscal and/or monetary policies to reduce overall (including import) expenditure; while the latter involves the use of exchange-rate and/or protectionist policies to switch expenditure away from foreign goods and/or toward domestic goods.

An example of expenditure-reducing policies is to increase income taxes. Explain without using any graphs and economic models why raising the income tax rate can help improve the trade balance. (2 marks)

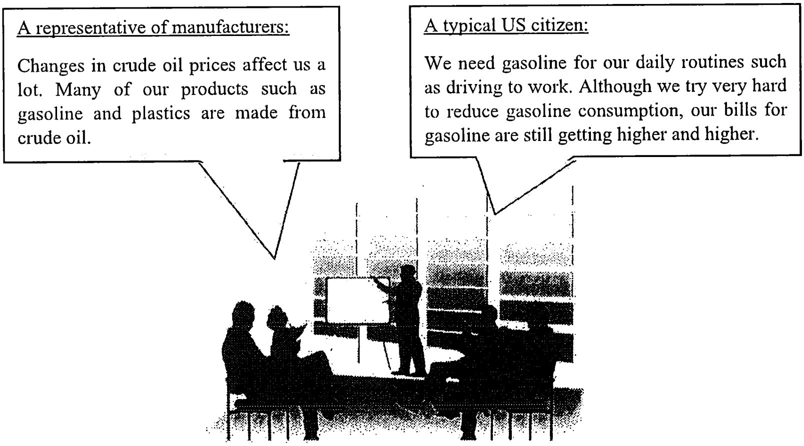
2023/DSE/II/12d

Inflation is a concern in the US. Different causes of inflation have been suggested, including rising crude oil prices, expansionary monetary policy, and high import tariffs.

Source A: Prices of crude oil from May 2020 to May 2022



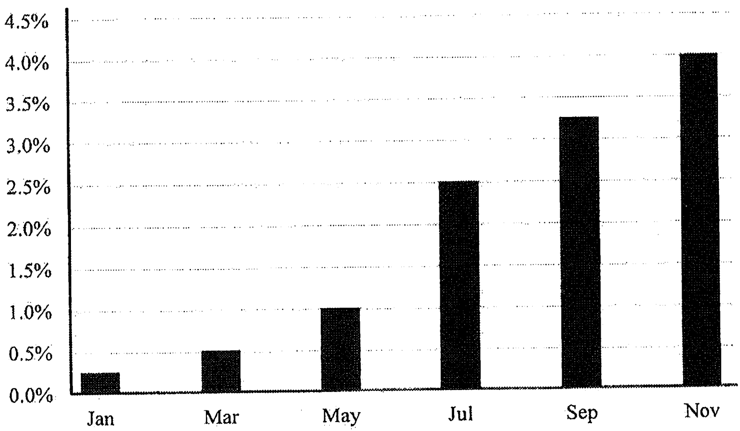
Source B: Some views about energy prices expressed by participants in a forum



Source C: Money supply in the US

	May 2020	May 2021
Money supply (USD Billion)	17766.9	20 319.6

Source D: Discount rate of the Federal Reserve* of the US from January to November 2022



*Federal Reserve is the central bank of the US.

Source E: Some comments on the US tariffs on Chinese imports

A US producer 	We can no longer bear the costs of tariffs on raw materials imported from China without increasing our product prices.
An economist 	The tariffs cause the prices of imported consumer goods from China to rise. This puts a greater burden on low-income households than on high-income households.

For part (d), candidates are required to present their answers in an essay form. Criteria for marking will include the use of sources and economic theories, relevant content, logical presentation and clarity of expression.

(d) Apart from adjusting the discount rate, two other strategies have been suggested to address the problem of inflation in the US.

Strategy 1	Raising the salaries tax rate for the high-income group
Strategy 2	Cancelling the tariffs on Chinese imports

With reference to Sources A to E and your own knowledge in Economics, discuss the effects of **EACH** strategy on the US economy in terms of

- price level,
- equity, and
- trade balance,

(14marks)